said, “I can calculate the movement of stars, but not the madness of men.” Alas, poor Newton was not alone in that regard.

The first notable person to express momentum principles in investment terms was the great classical economist, David Ricardo. Ricardo wisely considered downside as well as upside momentum when he said in 1838, “Cut your losses; let your profits run on.” Ricardo followed his own advice and retired at the age of 42, having amassed a fortune of $65 million in today’s dollars.

MOMENTUM IN THE EARLY TWENTIETH CENTURY

Momentum principles in the form of a disciplined investing style were alive and well early in the twentieth century. Momentum dominates much of the famous book *Reminiscences of a Stock Operator* by journalist Edwin Lefèvre (2010), originally written in 1923. It describes the thoughts and exploits of legendary trader Jesse Livermore. Livermore once said, “Big money is not in the individual fluctuations, but in sizing up the entire market and its trend.” Trend following is a form of momentum investing. Livermore introduced the momentum idea of buying stocks when they are making new highs. His statement “Prices are never too high to begin buying or too low to begin selling” accurately describes momentum style investing.

Richard Wyckoff also wrote books beginning in the 1920s that drew heavily on momentum principles. In his 1924 book, *How I Trade in Stocks and Bonds: Being Some Methods Evolved and Adapted During My Thirty-Three Years Experience in Wall Street*, Wyckoff advocated buying the strongest stocks within the strongest sectors and within the strongest index when they were trending up during the marking up phase of their accumulation-distribution cycle. Wyckoff used his ideas to amass a fortune in the stock market before he retired to a 9.5-acre estate and mansion in the Hamptons, next to Alfred P. Sloan, the legendary chairman of General Motors.

In his bestseller, *The Seven Pillars of Stock Market Success*, George Seamans (1939) recommended that traders buy stronger stocks during an